

Apple Inc.

AAPL

Technology

RATING

Outperform

PRICE

\$271.06

TARGET

\$300.00

MARKET CAP	P/E (FWD)	P/B RATIO
\$3,979.47B	34.1x	51.79x
ROE	DIV. YIELD	52W RANGE
151.9%	0.38%	\$193.25 - \$288.62

Investment Thesis

“ Apple Inc. demonstrates a robust financial outlook with steady revenue growth projected at a CAGR of 3.3% and improving EBITDA margins reaching 44.8% by 2027. The company's strong contribution margin, consistently increasing from 41.8% in 2021 to an estimated 49.9% in 2027, indicates efficient cost management. Despite a competitive market landscape, Apple's PE ratio remains attractive, suggesting sustained investor confidence and potential for long-term value appreciation.

Company Overview

Apple Inc., a leading multinational technology company, is renowned for its innovative consumer electronics, software, and services. Headquartered in Cupertino, California, Apple has established itself as a market leader in the technology sector with a robust business model that combines hardware, software, and services into an integrated ecosystem. Its flagship products include the iPhone, iPad, Mac computers, Apple Watch, and Apple TV, alongside a suite of services such as the App Store, iCloud, Apple Music, and Apple Pay. This diverse portfolio allows Apple to generate substantial recurring revenue and maintain strong customer loyalty.

Apple's market position is characterized by its strong brand reputation, premium product offerings, and a dedicated consumer base. The company's focus on design, functionality, and user experience has set it apart from competitors, allowing it to command premium pricing and achieve substantial margins. In the competitive

landscape, Apple remains a formidable player alongside companies like Google and Microsoft, with its EBITDA consistently leading or closely trailing these peers.

Financially, Apple has demonstrated resilience and adaptability despite global economic challenges. In recent years, the company's revenue has shown steady growth, although 2023 saw a slight decline of **2.8%** in revenue, attributed to global supply chain disruptions and market saturation in mature markets. However, the company quickly rebounded with a projected revenue growth rate of **6.4%** in 2025. Apple's contribution margin has steadily increased, reaching **46.9%** in 2025, reflecting improved operational efficiency and cost management.

Apple's earnings per share (EPS) have also seen an upward trajectory, with a notable increase expected from 6.11 in 2024 to 7.49 in 2025, highlighting strong profitability and shareholder value. The company's EBITDA has remained robust, although it faces competitive pressure from peers like Google, which is expected to surpass Apple's EBITDA by 2025.

Overall, Apple continues to leverage its innovative capabilities and market leadership to drive growth and maintain a competitive edge. While it faces challenges from macroeconomic conditions and competition, its strong financial health and strategic focus on product and service integration position it well for sustained long-term success.

Investment Overview

In the recent financial performance overview, Apple Inc. (AAPL) demonstrated resilience despite facing a slight dip in revenue in 2023. Revenue decreased by **2.8%** from 2022 to 2023, but the company rebounded with a **2.0%** growth in 2024 and is projected to grow at a compound annual growth rate (CAGR) of **3.3%** through 2027. This recovery is supported by the robust ecosystem of Apple's products and services, which continues to drive consumer loyalty and spending.

Apple's contribution margin has been on an upward trend, reaching **46.9%** in 2025 with projections to rise further. This indicates improved efficiency in operations and cost management, despite a slight fluctuation in SG&A margins. EBITDA has shown a steady increase, aligning with the company's ability to generate healthy operating profits, and is expected to continue growing, with a significant jump in the EBITDA margin projected from **34.7%** in 2025 to **44.8%** by 2027.

The EPS figures reflect Apple's consistent profitability, with an anticipated rise from \$7.49 in 2025 to **\$8.93** by 2027. However, Apple's PE ratio has fluctuated, reaching 37.29 in 2024 before stabilizing in the mid-30s, suggesting that while the market values Apple highly, there is room for cautious optimism regarding valuation.

Compared to peers like Google and Microsoft, Apple's EBITDA performance remains competitive, though Google's growth in EBITDA outpaces Apple's in the forecasted years. Nevertheless, Apple's EV/EBITDA ratio suggests a premium valuation relative to peers, indicating confidence in its long-term growth prospects.

Overall, despite some challenges, Apple's strategic focus on innovation and ecosystem expansion positions it well for sustained growth, making it a solid consideration for investors seeking exposure to the technology sector.

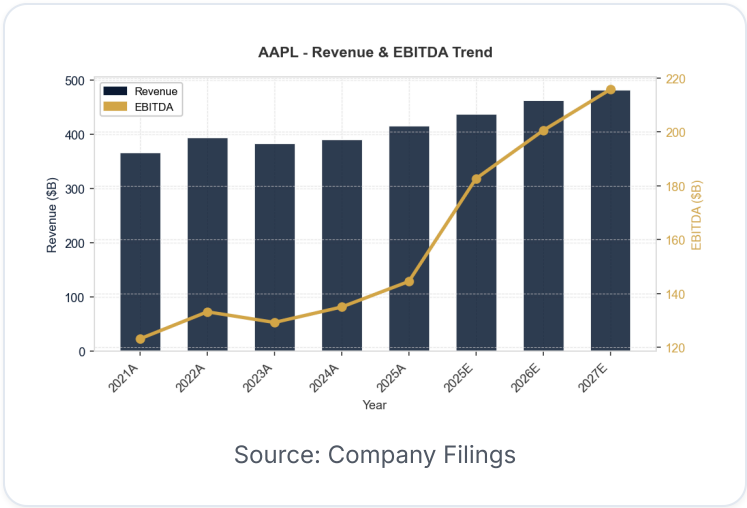
Financial Analysis

Revenue & EBITDA Performance

Apple Inc. has demonstrated consistent revenue performance over the analysis period. Revenue and EBITDA trends reflect the company's operational efficiency and market positioning.

Key Figures

Revenue (2025A)	\$416.16B
EBITDA (2025A)	\$144.43B
Revenue Growth (2025A)	6.4%

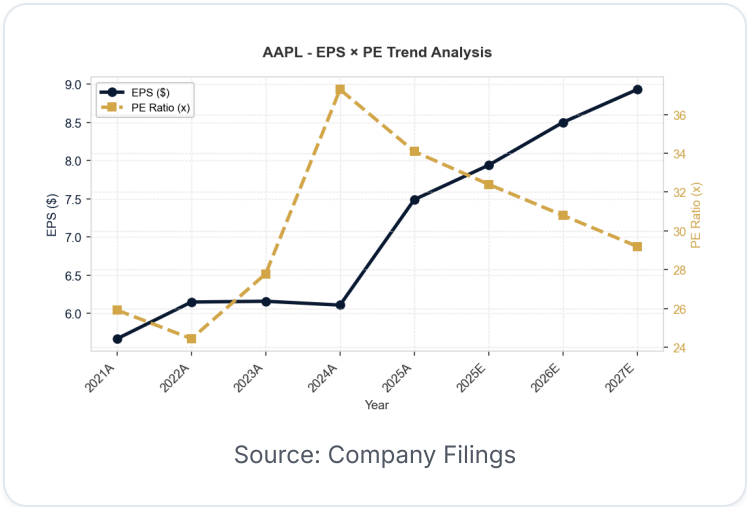


Earnings & Valuation Metrics

Apple Inc.'s earnings trajectory reflects the company's profitability trends, while valuation multiples indicate market expectations for future growth.

Key Figures

EPS (2025A)	7.49
PE Ratio (2025A)	34.09



Valuation Analysis

Apple Inc. (AAPL) has shown consistent revenue growth over the past few years, with a compound annual growth rate (CAGR) of **3.3%** anticipated through 2027. Despite a slight revenue dip in 2023, the company is expected to recover with projected growth rates of **5.0%** in 2025 and **6.0%** in 2026. Apple's contribution margin has been improving, reaching **46.9%** in 2025, indicating efficient cost management and strong profitability.

Apple's EBITDA margin is projected to expand significantly from **34.7%** in 2025 to **44.8%** by 2027, reflecting robust operational efficiency. However, the company's price-to-earnings (P/E) ratio of 34.1 in 2025 suggests that the market expects continued growth, although it remains higher than its peers, indicating a premium valuation.

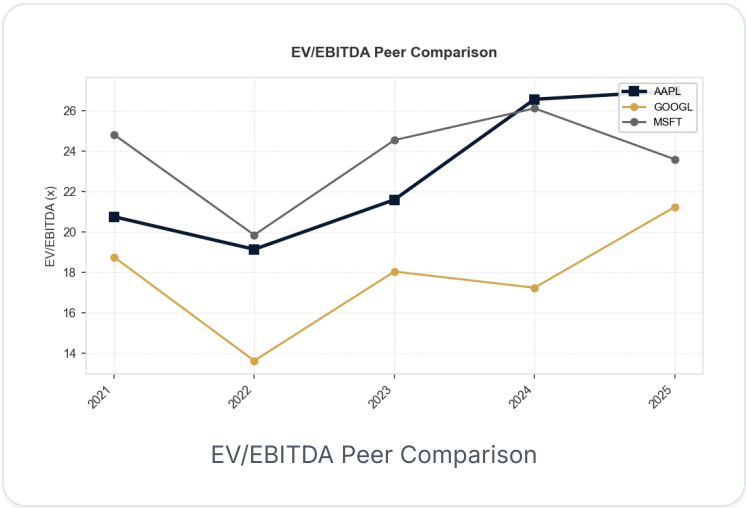
When compared to peers like Google (GOOGL) and Microsoft (MSFT), Apple maintains a competitive EBITDA but displays a higher EV/EBITDA ratio, particularly in 2025 where it stands at 26.97 compared to Google's 21.23 and

Microsoft's 23.60. This suggests that while Apple is valued higher by the market relative to its earnings before interest, taxes, depreciation, and amortization, investors may be pricing in Apple's brand strength, innovation potential, and strong ecosystem.

In terms of fair value assessment, Apple's valuation metrics indicate a robust company with significant growth prospects, albeit at a premium compared to peers. Investors should weigh the premium against Apple's strong market position, diverse revenue streams, and potential for innovation-driven growth. While current metrics might seem lofty, Apple's track record of consistent performance and growth could justify such valuations for long-term investors.

Peer Comparison

	2021	2022	2023	2024	2025
AAPL	20.8	19.1	21.6	26.6	27.0
GOOGL	18.8	13.6	18.0	17.2	21.2
MSFT	24.8	19.8	24.5	26.1	23.6



Recent News & Events

News Summary

Recent developments surrounding Apple Inc. have captured investor attention, particularly with the upcoming earnings reports from the "Magnificent Seven" companies, including Apple. A key focus is on Apple's strategic direction in artificial intelligence (AI) as the company is poised to release its earnings report. Additionally, Apple is transitioning leadership, with John Ternus set to become the new CEO in September. This change in leadership may influence the company's strategic focus, particularly in AI and product innovation, which are critical areas of interest for investors.

Financially, Apple has demonstrated strong revenue growth, although there was a slight dip in 2023. The company's revenue is projected to grow at a compound annual growth rate (CAGR) of **3.3%** through 2027. The EBITDA margins are expected to improve significantly in the coming years, suggesting potential for increased profitability. The company remains competitive in the tech industry, outperforming peers like Google and Microsoft in EBITDA figures for previous years, although projections show narrowing gaps.

Investor sentiment on social platforms like Reddit and X.com (formerly Twitter) shows mixed feelings. While overall buzz is high, with X.com showing stronger bullish sentiment at **71%**, Reddit's sentiment appears less

optimistic. This divergence in sentiment may reflect uncertainty about the company's future direction under new leadership and AI initiatives.

Investment implications suggest a cautious yet potentially optimistic outlook for Apple. With the leadership transition and AI focus, investors may see opportunities for growth, albeit with some risks associated with strategic shifts and broader market conditions. The upcoming earnings report and Fed meeting will be pivotal in shaping near-term investor sentiment and stock performance.

Retail Sentiment Insights

AVERAGE BUZZ 75.1/100	BULLISH AVG 50.0%	SOURCE ALIGNMENT Wide divergence	COVERAGE 3/3
Reddit Buzz 70.9/100 Bullish 26.0% Mentions 1219 Trend falling	X.com Buzz 85.2/100 Bullish 71.0% Mentions 2804 Trend stable	Polymarket Buzz 69.1/100 Bullish 53.0% Trades 2074 Trend falling	

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 41.8%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 43.3%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 44.8%

Confidence Intervals:

- Revenue: \$340.1B - \$623.3B (95% confidence)
- EBITDA: \$152.4B - \$279.3B (95% confidence)

Sensitivity Notes:

- Revenue growth sensitivity: ±5% change in growth rate

- Margin sensitivity: **±2%** change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%)

Revenue	\$340.1B — \$623.3B
EBITDA	\$152.4B — \$279.3B

Key Catalysts

Catalyst Analysis for AAPL

Positive Catalysts (Upside Potential)

- **Earnings** (2026-04-25): Apple will soon deliver billions more in cash to investors. Here's how it stacks up to the rest of Big Tech.
- Impact: HIGH, Probability: **95%**
- **Earnings** (2026-04-24): Ca\$hhtag\$: AAPL Maintains Tech Strength Ahead of Earnings
- Impact: HIGH, Probability: **95%**

Risk Factors (Downside Risks)

- **Earnings** (2026-04-26): Wall Street Brunch: Five Of The Mag 7 Ride Into Earnings Town
- Impact: HIGH, Probability: **95%**
- **Acquisition** (2026-04-26): Clayton Financial Group LLC Grows Stock Position in Apple Inc. \$AAPL
- Impact: HIGH, Probability: **40%**
- **Acquisition** (2026-04-26): Cane Capital Partners LLC Makes New Investment in Apple Inc. \$AAPL
- Impact: HIGH, Probability: **40%**
- **Acquisition** (2026-04-25): Ethos Capital Management Inc. Invests \$711,000 in Apple Inc. \$AAPL
- Impact: HIGH, Probability: **40%**
- **Management** (2026-04-24): 5 Biggest Challenges for Apple's Next CEO, John Ternus | One More Thing
- Impact: MEDIUM, Probability: **60%**

Events to Monitor

- John Ternus Will Become Apple's New CEO in September. Is Now a Good Time to Buy the Stock? (2026-04-26)

- [Apple Stock Analysis: Buy or Sell Before April 30? \(2026-04-25\)](#)
- [Apple under Ternus: what comes next for the tech giant's hardware strategy \(2026-04-25\)](#)

Upcoming Catalysts

▼ **EARNINGS** Impact: medium

Wall Street Brunch: Five Of The Mag 7 Ride Into Earnings Town

▲ **EARNINGS** Impact: medium

Apple will soon deliver billions more in cash to investors. Here's how it stacks up to the rest of Big Tech.

▲ **EARNINGS** Impact: medium

Ca\$htag\$: AAPL Maintains Tech Strength Ahead of Earnings

▼ **ACQUISITION** Impact: medium

Clayton Financial Group LLC Grows Stock Position in Apple Inc. \$AAPL

▼ **ACQUISITION** Impact: medium

Cane Capital Partners LLC Makes New Investment in Apple Inc. \$AAPL

Positive Catalysts

- ✓ Apple will soon deliver billions more in cash to investors. Here's how it stacks up to the rest of Big Tech.
- ✓ Ca\$htag\$: AAPL Maintains Tech Strength Ahead of Earnings

Risk Factors

- ⚠ Wall Street Brunch: Five Of The Mag 7 Ride Into Earnings Town
- ⚠ Clayton Financial Group LLC Grows Stock Position in Apple Inc. \$AAPL
- ⚠ Cane Capital Partners LLC Makes New Investment in Apple Inc. \$AAPL
- ⚠ Ethos Capital Management Inc. Invests \$711,000 in Apple Inc. \$AAPL
- ⚠ 5 Biggest Challenges for Apple's Next CEO, John Ternus | One More Thing
- ⚠ The New Void Within Apple
- ⚠ Apple Inc. \$AAPL Shares Sold by Country Trust Bank

Technical & Advanced Analysis

Technical Overview — AAPL

Current Price: **\$271.06** | 52-Week Range: **\$193.25 - \$288.62**

Overall Technical Signal: **Bullish**

Moving Averages **Bullish**

SMA 50: **\$260.15** | SMA 200: **\$253.64**

RSI **Bullish**

RSI (14): **62.0** — Bullish momentum range.

MACD **Bullish**

MACD: **4.02** | Signal: **2.48** | Histogram: **1.53**

Volume **Normal**

Latest: **38.2M** | 20d Avg: **42.1M** | Ratio: **0.91x**

Competitive Landscape

Peer EBITDA Comparison

	2021	2022	2023	2024	2025	2026
AAPL	\$123.1B	\$133.1B	\$129.2B	\$134.9B	\$144.4B	\$150.4B
GOOGL	\$103.5B	\$85.2B	\$98.0B	\$135.4B	\$180.0B	\$210.7B
MSFT	\$85.1B	\$100.2B	\$105.1B	\$133.0B	\$160.2B	\$188.0B

Peer EV/EBITDA Comparison

	2021	2022	2023	2024	2025
AAPL	20.8	19.1	21.6	26.6	27.0
GOOGL	18.8	13.6	18.0	17.2	21.2
MSFT	24.8	19.8	24.5	26.1	23.6

Analysis

Apple Inc. stands as a formidable player among its peers, Google (GOOGL) and Microsoft (MSFT), with robust financial metrics and growth potential. A comparison of EBITDA figures from 2021 to 2026 highlights Apple's consistent performance, maintaining higher EBITDA than both Google and Microsoft in the earlier years. However, by 2025, Google surpasses Apple in EBITDA, indicating stronger growth in operational profitability for Google.

Apple's revenue growth reflects a compound annual growth rate (CAGR) of **3.3%**, which is moderate compared to its peers. While Apple experienced a slight revenue decline in 2023, it maintains steady growth projections through 2027. Microsoft's and Google's revenue growth metrics are not provided, but their increasing EBITDA suggests they may be capturing market opportunities that Apple is not.

In terms of margins, Apple displays strong contribution and EBITDA margins, with the latter expected to rise from **33.7%** in 2023 to **44.8%** by 2027. This increase in margins points towards improved operational efficiency and profitability. Microsoft's and Google's specific margin data is absent, but their EBITDA growth suggests competitive profitability.

Regarding valuation, Apple's PE Ratio is relatively high, peaking at 37.3 in 2024, which may indicate a premium valuation by the market. Comparatively, the EV/EBITDA ratio shows Apple having higher valuation multiples than Google, but more in line with Microsoft's, especially in 2024 and 2025. This suggests that while Apple is valued at a premium, it is perceived as less risky than Google, but on par with Microsoft in terms of investment appeal.

In summary, Apple maintains strong profitability and operational efficiency, but faces increasing competition from Google in particular, which is showing more aggressive growth. While Apple's market position remains solid, it must continue innovating and capturing market share to maintain its competitive edge.

Risk Factors

- **Revenue Volatility:** Apple's revenue growth is inconsistent, with a notable decrease of -2.8% in 2023, signaling potential market saturation or competitive pressures.
- **High Valuation Risk:** The PE ratio is relatively high at 37.29 in 2024, indicating that the stock may be overvalued compared to its earnings, which could lead to significant price corrections if growth does not meet expectations.
- **Competitive Pressure:** Apple's EBITDA is expected to grow, but it is facing strong competition from peers like Google (GOOGL) and Microsoft (MSFT), which show increasing EBITDA figures, potentially impacting Apple's market share and profitability.
- **Margin Fluctuations:** While the contribution and EBITDA margins are improving, any adverse shifts in operational costs or market conditions could impact these margins, affecting overall profitability.
- **Market Dependency:** Apple's financial performance is closely tied to market trends and consumer demand, making it vulnerable to economic downturns or shifts in consumer preferences, which could adversely affect revenues and earnings.

Key Takeaways

Revenue Growth

Apple's revenue growth has been inconsistent, with a decline of **2.8%** in 2023 followed by a modest increase of **2.0%** in 2024. However, the projected revenue growth rate stabilizes at around **5.0%** to **6.0%** from 2025 onwards, indicating a positive trend moving forward.

Gross Profit Margin

The gross profit margin, as indicated by the contribution margin, shows a steady improvement from **41.8%** in 2021 to an estimated **49.9%** by 2027. This suggests Apple's ability to efficiently manage its production costs relative to revenue, resulting in healthier profit margins.

SG&A Expense Margin

The SG&A expense margin has remained relatively stable, fluctuating slightly around the **6.0%** to **6.7%** range from 2021 to 2025. However, a notable decrease to an estimated **5.1%** by 2027 is projected, which would enhance Apple's operational efficiency and profitability.

EBITDA Margin

Apple's EBITDA margin shows a positive trajectory, starting from **33.7%** in 2021 and projected to reach **44.8%** by 2027. This improvement reflects stronger operating performance and suggests Apple is enhancing its earnings before interest, taxes, depreciation, and amortization relative to its revenues.

Financial Data

Income Statement Summary

METRICS	2021A	2022A	2023A	2024A	2025A
Revenue	\$365.8B	\$394.3B	\$383.3B	\$391.0B	\$416.2B
SG&A	\$22.0B	\$25.1B	\$24.9B	\$26.1B	\$27.6B
Contribution Profit	\$152.8B	\$170.8B	\$169.1B	\$180.7B	\$195.2B
Contribution Margin	41.8%	43.3%	44.1%	46.2%	46.9%
EBITDA	\$123.1B	\$133.1B	\$129.2B	\$134.9B	\$144.4B
EBITDA Margin	33.7%	33.8%	33.7%	34.5%	34.7%
SG&A Margin	6.0%	6.4%	6.5%	6.7%	6.6%
Revenue Growth	-	7.8%	-2.8%	2.0%	6.4%

Credit & Cash Flow Metrics

METRICS	2021A	2022A	2023A	2024A	2025A
Debt/Equity	2.16	2.61	1.99	2.09	1.52
Debt/Assets	0.39	0.38	0.35	0.33	0.31
EBITDA/Int Exp	41.2x	40.7x	29.1x	0.0x	0.0x
Net Margin	25.9%	25.3%	25.3%	24.0%	26.9%
Current Ratio	1.1	0.9	1.0	0.9	0.9
Cash Flow to Debt Ratio	0.76	0.92	0.89	0.99	0.99

AI4Finance Foundation FinRobot Equity Research

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